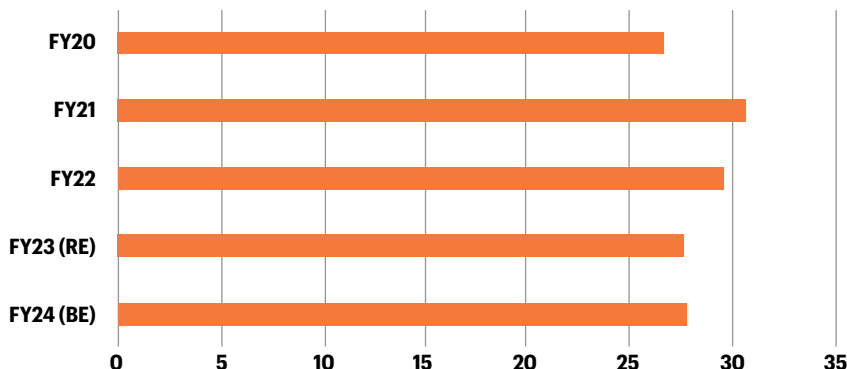


OUTSTANDING LIABILITIES

▶ The debt-to-GDP ratio of states is estimated at 27.6 per cent in FY24 (Budget Estimate) ▶ It declined to 27.5 per cent in March-end 2022 from a peak of 31 per cent a year ago

(Outstanding liabilities as a percentage of GSDP)



SOURCE RBI STATE FINANCES: A STUDY OF BUDGETS OF 2023-24



“People look for short-term benefits and governments want to win elections by giving them at the cost of long-term growth-enhancing expenditures”

M. GOVINDA RAO

EMERITUS PROFESSOR, NIPFP; CEA, BRICKWORK RATINGS; MEMBER, 14TH FINANCE COMMISSION

could be as high as 4.5 times that of NPS, with the additional burden reaching 0.9 per cent of GDP annually by 2060,” RBI says in its latest report, ‘State Finances: A Study of Budgets of 2023-24’. This will add to the pension burden of older OPS retirees whose last batch is expected to retire by the early 2040s and, therefore, draw pension under the OPS till the 2060s, it warned.

The RBI report also highlights that states’ total outstanding liabilities are budgeted to fall to 27.6 per cent of GDP for 2023-24 from the peak of 31 per cent in 2020-21; however, the debt to GDP ratio could exceed 25 per cent as at end-March 2024 (BE) for 25 states and union territories. However, the overall fiscal outlook for the states remains favourable in 2023-24, it adds.

However, do these issues really matter to the Indian voter, many of whom are still struggling to make basic ends meet and the tantalising promise of a government job or free mobile phone seems too good to pass on? A recent report by Bank of Baroda that studied the socio-economic profile of the five states where polls were held in November says that their economic and social profiles are very different from one another. “It may be stated upfront that economic elements may not have a significant bearing on the election outcomes,” it says.

M. Govinda Rao, Emeritus Professor at NIPFP,

Chief Economic Advisor of Brickwork Ratings, and a member of the 14th Finance Commission, notes that electoral budget cycles are a phenomenon that exists in all democratic systems. “People look for short-term benefits and governments want to win elections by giving them at the cost of long-term growth-enhancing expenditures... People want benefits now though this will burden the future,” he says.

While redistribution is a legitimate function of governments, Rao notes that it is important to realise that it involves opportunity costs. “Even when redistribution has to be done; it is better to give cash transfers than giving subsidies to avoid relative price distortions,” he advises.

Apart from the General Elections, next year will see more states, including Andhra Pradesh, Odisha, Haryana, Maharashtra and Jharkhand, go to polls. Populism is likely to take centre stage in these elections, along with issues like inflation (especially in food prices), jobs and demands for a caste census. But with the focus on capital expenditure and fiscal prudence, political parties may have to maintain a fine balance between fiscal profligacy and vote-bank politics. That could be a tightrope to walk. **BT**

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